

MASTER SERVICE AGREEMENT

This Master Service Agreement ("Agreement") is entered into as of February 20, 2024, by and between:

SERVICE PROVIDER: Global Consulting Partners LLC

Address: 555 Executive Boulevard, Suite 1200, Atlanta, GA 30303, USA

("Provider")

CLIENT: Pacific Manufacturing Corporation

Address: 2000 Industrial Way, Seattle, WA 98101, USA

("Client")

WHEREAS, Provider offers professional consulting services in operations management, supply chain optimization, and business process improvement; and

WHEREAS, Client desires to engage Provider to provide such services on the terms and conditions set forth herein.

NOW, THEREFORE, in consideration of the mutual covenants and promises contained herein, and for other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, the parties agree as follows:

ARTICLE 1: SERVICES

1.1 Scope of Services. Provider shall provide professional consulting services as described in individual Statements of Work ("SOW") executed pursuant to this Agreement.

1.2 Statements of Work. Each SOW shall specify:

- a) Detailed description of services to be performed
- b) Deliverables and acceptance criteria
- c) Timeline and milestones
- d) Fees and payment terms

e) Any special terms specific to that engagement

1.3 Standard of Performance. Provider shall perform all services in a professional and workmanlike manner, consistent with industry standards and best practices.

1.4 Personnel. Provider shall assign qualified personnel with appropriate skills and experience. Provider may substitute personnel with Client's prior approval, not to be unreasonably withheld.

1.5 Client Responsibilities. Client shall:

- a) Provide timely access to facilities, systems, and personnel
- b) Provide accurate and complete information
- c) Designate a primary contact for coordination
- d) Review and approve deliverables within agreed timeframes

ARTICLE 2: TERM AND TERMINATION

2.1 Initial Term. This Agreement shall commence on February 20, 2024, and continue for an initial term of three (3) years unless terminated earlier in accordance with this Article.

2.2 Renewal. This Agreement shall automatically renew for successive one (1) year periods unless either party provides written notice of non-renewal at least 90 days prior to the end of the then-current term.

2.3 Termination for Convenience. Either party may terminate this Agreement or any SOW for convenience upon sixty (60) days prior written notice. Upon such termination:

- a) Client shall pay for all services performed through the termination date
- b) Provider shall deliver all work product completed to date
- c) Neither party shall owe any termination fees or penalties
- d) Confidentiality obligations shall survive

2.4 Termination for Cause. Either party may terminate this Agreement or any SOW immediately upon written notice if:

- a) The other party materially breaches this Agreement and fails to cure within thirty (30) days of written notice

- b) The other party becomes insolvent, files for bankruptcy, or makes an assignment for the benefit of creditors
- c) The other party ceases operations

2.5 Effect of Termination. Upon termination:

- a) All outstanding invoices become immediately due
- b) Provider shall return or destroy Client's Confidential Information
- c) Client shall return or destroy Provider's proprietary materials
- d) Articles 4 (Confidentiality), 6 (Intellectual Property), 8 (Limitation of Liability), 9 (Indemnification), and 11 (General Provisions) shall survive

ARTICLE 3: FEES AND PAYMENT

3.1 Professional Fees. Client shall pay Provider professional fees as specified in each SOW. Unless otherwise stated, fees are based on Provider's standard hourly rates:

- a) Senior Consultant: \$350 per hour
- b) Consultant: \$250 per hour
- c) Analyst: \$175 per hour
- d) Project Manager: \$300 per hour

3.2 Expenses. Client shall reimburse Provider for reasonable, pre-approved out-of-pocket expenses incurred in performing services, including:

- a) Travel (airfare, lodging, ground transportation)
- b) Materials and supplies specifically for the project
- c) Third-party costs (if approved in advance)

3.3 Invoicing. Provider shall submit invoices monthly for services performed and expenses incurred during the previous month. Invoices shall include detailed time records and expense receipts.

3.4 Payment Terms. Client shall pay undisputed invoices within thirty (30) days of receipt. Payments shall be made via check or wire transfer to Provider's designated account.

3.5 Late Payment. Invoices not paid within thirty (30) days shall accrue interest at the lesser of 1.5% per month or the maximum rate permitted by law.

3.6 Disputed Amounts. If Client disputes any invoice amount, Client shall:

- a) Pay the undisputed portion by the due date
- b) Provide written notice of the dispute within fifteen (15) days of invoice date
- c) Work in good faith with Provider to resolve the dispute within thirty (30) days

3.7 Annual Rate Adjustment. Provider may increase its hourly rates annually by up to 5% or the Consumer Price Index increase, whichever is less, upon sixty (60) days written notice.

ARTICLE 4: CONFIDENTIALITY

4.1 Definition. "Confidential Information" means all non-public information disclosed by either party ("Disclosing Party") to the other party ("Receiving Party"), whether orally, in writing, or in any other form, including:

- a) Business plans, strategies, and financial information
- b) Technical information, designs, and processes
- c) Customer and supplier information
- d) Proprietary methodologies and work product
- e) Information marked as "Confidential" or that a reasonable person would understand to be confidential

4.2 Obligations. The Receiving Party shall:

- a) Maintain Confidential Information in strict confidence
- b) Use Confidential Information only for purposes of this Agreement
- c) Disclose Confidential Information only to employees and contractors who need to know and who are bound by similar confidentiality obligations
- d) Protect Confidential Information using at least the same degree of care used for its own confidential information, but no less than reasonable care
- e) Not reverse engineer, disassemble, or decompile any Confidential Information

4.3 Exceptions. Confidentiality obligations do not apply to information that:

- a) Is or becomes publicly available through no breach by Receiving Party
- b) Was rightfully in Receiving Party's possession prior to disclosure
- c) Is independently developed by Receiving Party without use of Confidential Information
- d) Is received from a third party without breach of any confidentiality obligation
- e) Must be disclosed pursuant to law, court order, or government regulation (with prompt notice to Disclosing Party)

4.4 Duration. Confidentiality obligations shall continue for five (5) years after termination of this Agreement.

4.5 Return or Destruction. Upon termination or at Disclosing Party's request, Receiving Party shall promptly return or certify destruction of all Confidential Information and copies thereof.

ARTICLE 5: WARRANTIES AND DISCLAIMERS

5.1 Provider Warranties. Provider warrants that:

- a) It has the right and authority to enter into this Agreement
- b) Services will be performed in a professional manner consistent with industry standards
- c) Services will not infringe any third-party intellectual property rights
- d) It maintains appropriate professional liability insurance

5.2 Client Warranties. Client warrants that:

- a) It has the authority to enter into this Agreement
- b) Information provided to Provider is accurate and complete
- c) It owns or has rights to all materials provided to Provider

5.3 DISCLAIMER. EXCEPT AS EXPRESSLY PROVIDED IN SECTION 5.1, PROVIDER MAKES NO WARRANTIES, EXPRESS OR IMPLIED, INCLUDING WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, OR NON-INFRINGEMENT. PROVIDER DOES NOT WARRANT THAT SERVICES WILL ACHIEVE ANY PARTICULAR RESULT OR OUTCOME.

5.4 Advice Disclaimer. Provider's advice and recommendations are based on information provided by Client and Provider's professional judgment. Client is responsible for all business decisions and implementation of recommendations.

ARTICLE 6: INTELLECTUAL PROPERTY

6.1 Client Ownership. Upon full payment, all work product, deliverables, and materials created specifically for Client under an SOW ("Work Product") shall be owned by Client.

6.2 Provider Background IP. Provider retains all rights to its pre-existing intellectual property, methodologies, tools, templates, and know-how ("Background IP") used in performing services. Client receives a non-exclusive, perpetual, royalty-free license to use Background IP solely as incorporated in Work Product.

6.3 Residual Knowledge. Provider may use general knowledge, skills, and experience gained during performance of services for other clients, provided such use does not violate Client's confidentiality rights.

6.4 Provider Use. Provider may use Client's name and a general description of services provided as a reference, subject to Client's prior approval.

ARTICLE 7: FORCE MAJEURE

7.1 Force Majeure Events. Neither party shall be liable for failure or delay in performance due to causes beyond its reasonable control, including:

- a) Acts of God (earthquakes, floods, severe weather)
- b) War, terrorism, or civil unrest
- c) Pandemic, epidemic, or government-mandated restrictions
- d) Fire, explosion, or other disasters
- e) Utility failures or telecommunications outages
- f) Labor strikes or disputes not involving the party's own employees
- g) Government actions or changes in law

7.2 Notification. The affected party shall:

- a) Notify the other party promptly (within 5 business days) of the force majeure event
- b) Describe the event and its expected impact on performance
- c) Use commercially reasonable efforts to mitigate the effects

d) Provide regular updates (at least every 30 days) on status and mitigation efforts

7.3 Reasonable Efforts. The affected party shall use reasonable efforts to resume performance as soon as practicable.

7.4 Fee Adjustment. During a force majeure event:

- a) Provider's obligation to perform is suspended
- b) Client's obligation to pay fees is suspended for services not performed
- c) Client remains obligated to pay for any services actually performed
- d) Deadlines shall be extended by the duration of the force majeure event

7.5 Extended Force Majeure. If a force majeure event continues for more than ninety (90) days, either party may terminate the affected SOW or this Agreement upon thirty (30) days written notice. Upon such termination:

- a) Client shall pay for services performed through the termination date
- b) Neither party shall be liable for any consequential damages
- c) Parties shall work cooperatively to transition any ongoing work

7.6 No Excuse for Payment. Force majeure does not excuse Client's obligation to pay for services performed before the force majeure event.

ARTICLE 8: LIMITATION OF LIABILITY

8.1 Liability Cap. EXCEPT FOR LIABILITIES THAT CANNOT BE LIMITED BY LAW, EACH PARTY'S TOTAL AGGREGATE LIABILITY ARISING OUT OF OR RELATED TO THIS AGREEMENT, WHETHER IN CONTRACT, TORT, OR OTHERWISE, SHALL NOT EXCEED THE TOTAL FEES PAID BY CLIENT TO PROVIDER UNDER THE APPLICABLE SOW DURING THE TWELVE (12) MONTHS IMMEDIATELY PRECEDING THE EVENT GIVING RISE TO LIABILITY.

8.2 Exclusion of Consequential Damages. IN NO EVENT SHALL EITHER PARTY BE LIABLE FOR ANY INDIRECT, INCIDENTAL, SPECIAL, CONSEQUENTIAL, OR PUNITIVE DAMAGES, INCLUDING LOST PROFITS, LOST REVENUE, LOST DATA, OR BUSINESS INTERRUPTION, EVEN IF ADVISED OF THE POSSIBILITY OF SUCH DAMAGES.

8.3 Exceptions. The limitations in Sections 8.1 and 8.2 shall not apply to:

- a) Either party's indemnification obligations under Article 9
- b) Either party's breach of confidentiality obligations under Article 4
- c) Either party's gross negligence or willful misconduct
- d) Infringement of intellectual property rights

8.4 Allocation of Risk. The parties acknowledge that the fees reflect the allocation of risk set forth in this Agreement and that Provider would not enter into this Agreement without these limitations.

ARTICLE 9: INDEMNIFICATION

9.1 Provider Indemnification. Provider shall indemnify, defend, and hold harmless Client and its officers, directors, employees, and agents from any third-party claims, damages, losses, and expenses (including reasonable attorneys' fees) arising from:

- a) Provider's breach of this Agreement
- b) Provider's negligence or willful misconduct
- c) Infringement of third-party intellectual property rights by Provider's Background IP
- d) Personal injury or property damage caused by Provider's personnel

9.2 Client Indemnification. Client shall indemnify, defend, and hold harmless Provider and its officers, directors, employees, and agents from any third-party claims, damages, losses, and expenses (including reasonable attorneys' fees) arising from:

- a) Client's breach of this Agreement
- b) Client's use of Work Product or services in violation of law
- c) Infringement claims based on materials or information provided by Client
- d) Client's implementation of Provider's recommendations

9.3 Indemnification Procedures. The indemnified party shall:

- a) Promptly notify the indemnifying party of any claim
- b) Cooperate in the defense of the claim
- c) Allow the indemnifying party to control the defense and settlement
- d) Not settle or admit liability without the indemnifying party's consent

9.4 Mitigation. If Provider's services are subject to an infringement claim, Provider may, at its option:

- a) Obtain the right for Client to continue using the services
- b) Modify the services to be non-infringing
- c) Replace the services with non-infringing alternatives
- d) Terminate the affected SOW and refund fees paid for the infringing portion

ARTICLE 10: DISPUTE RESOLUTION

10.1 Governing Law. This Agreement shall be governed by the laws of the State of Georgia, without regard to its conflict of laws principles.

10.2 Negotiation. The parties shall attempt in good faith to resolve any dispute through negotiation between senior executives within thirty (30) days of written notice.

10.3 Mediation. If negotiation fails, the parties shall submit the dispute to non-binding mediation before a mutually acceptable mediator in Atlanta, Georgia, in accordance with the CPR Mediation Procedure.

10.4 Arbitration. If mediation fails to resolve the dispute within sixty (60) days, either party may initiate binding arbitration in Atlanta, Georgia, in accordance with the Commercial Arbitration Rules of the American Arbitration Association. The arbitrator's decision shall be final and binding.

10.5 Equitable Relief. Notwithstanding the above, either party may seek injunctive or other equitable relief in any court of competent jurisdiction for:

- a) Breaches of confidentiality obligations
- b) Infringement of intellectual property rights
- c) Irreparable harm that cannot be adequately remedied by damages

10.6 Attorneys' Fees. The prevailing party in any dispute shall be entitled to recover reasonable attorneys' fees and costs.

10.7 Continued Performance. Except for non-payment, the parties shall continue performing their obligations during dispute resolution.

ARTICLE 11: GENERAL PROVISIONS

11.1 Independent Contractors. The parties are independent contractors. Nothing in this Agreement creates an employment, partnership, joint venture, or agency relationship.

11.2 Assignment. Neither party may assign this Agreement without the other party's prior written consent, except that either party may assign to:

- a) An affiliate or subsidiary
- b) A successor in connection with a merger, acquisition, or sale of all or substantially all assets

11.3 Subcontracting. Provider may use subcontractors to perform services, provided:

- a) Provider obtains Client's prior written approval for key subcontractors
- b) Provider remains fully responsible for all subcontractor performance
- c) Subcontractors are bound by confidentiality obligations at least as protective as those in this Agreement

11.4 Non-Solicitation. During the term and for one (1) year thereafter, neither party shall solicit for employment any of the other party's employees who worked on services under this Agreement without the other party's prior written consent.

11.5 Notices. All notices shall be in writing and delivered via:

- a) Personal delivery
- b) Overnight courier
- c) Certified mail, return receipt requested
- d) Email (with confirmation of receipt)

Notices to Client:

Pacific Manufacturing Corporation

Attn: Chief Operating Officer

2000 Industrial Way

Seattle, WA 98101

Email: legal@pacificmfg.com

Notices to Provider:

Global Consulting Partners LLC
Attn: General Counsel
555 Executive Boulevard, Suite 1200
Atlanta, GA 30303
Email: contracts@globalconsulting.com

11.6 Entire Agreement. This Agreement, together with all SOWs, constitutes the entire agreement between the parties and supersedes all prior negotiations, understandings, and agreements.

11.7 Amendments. No amendment or modification shall be effective unless in writing and signed by authorized representatives of both parties.

11.8 Waiver. No waiver of any provision shall be effective unless in writing. A waiver of any breach does not constitute a waiver of any other breach.

11.9 Severability. If any provision is found invalid or unenforceable, the remaining provisions shall remain in full force and effect, and the invalid provision shall be modified to the minimum extent necessary to make it enforceable.

11.10 Counterparts. This Agreement may be executed in counterparts, each of which shall be deemed an original and all of which together shall constitute one agreement.

11.11 Compliance with Laws. Each party shall comply with all applicable federal, state, and local laws and regulations in performing its obligations.

11.12 Export Control. Provider shall comply with all applicable export control laws and regulations. Services and Work Product shall not be exported or re-exported to prohibited countries or persons.

11.13 Publicity. Neither party shall issue press releases or make public announcements about this Agreement without the other party's prior written approval.

11.14 Force and Effect. This Agreement shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

SERVICE PROVIDER: Global Consulting Partners LLC

By: _____

Name: David Anderson

Title: Chief Executive Officer

Date: February 20, 2024

CLIENT: Pacific Manufacturing Corporation

By: _____

Name: Lisa Wong

Title: Chief Operating Officer

Date: February 20, 2024